Baidu BIDU.OQ BIDU US

EQUITY: INTERNET & NEW MEDIA

Weak ads, strong AI Cloud

Maintain Buy on undemanding valuation; lower TP to USD110

3Q26F preview: Robust AI Cloud growth contrasts with weakening ads; earnings remain under pressure

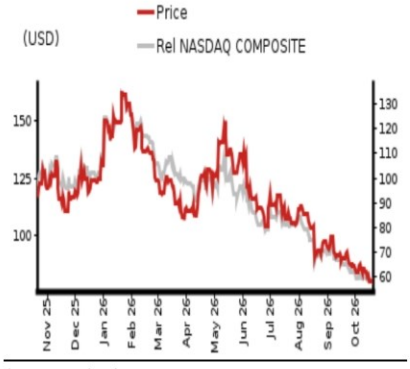
For 3Q26F, we expect largely in-line revenue but below-consensus earnings, reflecting continued weakness in advertising and increased investment in foundation model R&D. Baidu aims to return to the ranks of frontier-model developers in 2027 through increased R&D spending. We forecast Baidu Core (ex-iQIYI) revenue growth of 1% y-y, broadly in line with the latest Bloomberg consensus. However, the divergence between its two key businesses likely persisted, with advertising revenue declining another 23% y-y to CNY11.9bn (48% of Baidu Core revenue), while AI Cloud infrastructure revenue likely surged 93% y-y to CNY8.1bn (33% of revenue). Against this backdrop, we expect non-GAAP operating profit to decline 31% y-y to CNY1.5bn, 28% below the Street consensus of CNY2.1bn, with non-GAAP OPM contracting 2.8pp y-y to 6.2%.

Meanwhile, the timeline for the highly anticipated IPO of Baidu's chip subsidiary, *Kunlunxin* (KLX), remains uncertain, pending regulatory approval in China. We believe the delay has weighed on investor sentiment, with Baidu shares now trading at a valuation close to their net cash value. To restore investor confidence, we believe Baidu should consider stepping up capital returns. The company has announced plans to declare its first-ever annual dividend by end-2026E, which we see as a potential near-term catalyst, alongside the anticipated IPO of KLX.

We lower FY26/27F non-GAAP EPS estimates for Baidu by 12%/8%, respectively, to reflect a weaker advertising outlook and increased AI investment. We also cut our SOTP-based TP to USD110 from USD154, implying 16x FY27F P/E (vs. 20x FY27F P/E previously), to reflect heightened execution risks (*Fig. 4*). Maintain Buy on undemanding valuation. The stock currently trades at 11.6x FY27F P/E.

Rating Remains	**Buy**
Target price Reduced from USD 154.00	**USD 110.00**
Closing price 20 October 2026	**USD 80.50**
Implied upside	**+36.6%**
Market Cap (USD mn)	27,506.4
ADT (USD mn)	228.5

Relative performance chart



Source: LSEG, Nomura

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Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	129,079	128,263	127,139	139,545	134,406	152,949	145,610
Reported net profit (mn)	5,589	12,618	10,822	14,934	13,522	16,150	14,403
Normalised net profit (mn)	18,941	15,385	13,560	17,380	15,967	18,311	16,564
FD normalised EPS	55.22	44.85	39.53	50.67	46.55	53.38	48.29
FD norm. EPS growth (%)	-28.5	-18.8	-28.4	13.0	17.7	5.4	3.7
FD normalised P/E (x)	10.4	–	13.6	–	11.6	–	11.2
EV/EBITDA (x)	7.2	–	8.1	–	8.5	–	7.9
Price/book (x)	0.7	–	0.6	–	0.6	–	0.6
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	2.1	4.6	4.0	5.1	4.7	5.2	4.7
Net debt/equity (%)	24.3	21.6	22.2	23.9	25.9	22.4	23.7

Source: Company data, Nomura estimates

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Key data on Baidu

Performance

(%)	1M	3M	12M		
Absolute (USD)	-10.5	-26.7	-34.1	M cap (USDmn)	27,506.4
Absolute (USD)	-10.5	-26.7	-34.1	Free float (%)	78.9
Rel to NASDAQ COMPOSITE	-10.1	-30.3	-49.0	3-mth ADT (USDmn)	228.5

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	133,125	129,079	127,139	134,406	145,610
Cost of goods sold	-66,102	-72,436	-80,104	-85,317	-92,641
Gross profit	67,023	56,643	47,035	49,089	52,969
SG&A	-41,430	-43,060	-36,879	-38,428	-41,486
Employee share expense	-4,323	-3,216	-2,837	-2,548	-2,296
Operating profit	21,270	10,367	7,319	8,112	9,186
EBITDA	35,898	24,966	21,572	23,045	25,218
Depreciation	-6,844	-7,907	-7,661	-7,964	-8,483
Amortisation	-7,784	-6,692	-6,591	-6,968	-7,549
EBIT	21,270	10,367	7,319	8,112	9,186
Net interest expense	5,138	5,818	5,500	5,000	5,000
Associates & JCEs					
Other income	2,214	6,721	500	3,500	3,500
Earnings before tax	28,622	22,906	13,319	16,612	17,686
Income tax	-4,447	-1,259	-2,397	-2,990	-3,184
Net profit after tax	24,175	21,647	10,922	13,622	14,503
Minorities	-415	132	-100	-100	-100
Other items	3,242	-2,838	2,739	2,445	2,161
Preferred dividends					
Normalised NPAT	27,002	18,941	13,560	15,967	16,564
Extraordinary items	-3,242	-13,352	-2,739	-2,445	-2,161
Reported NPAT	23,760	5,589	10,822	13,522	14,403
Dividends					
Transfer to reserves	23,760	5,589	10,822	13,522	14,403
Valuations and ratios					
Reported P/E (x)	8.5	35.2	17.1	13.7	12.8
Normalised P/E (x)	7.5	10.4	13.6	11.6	11.2
FD normalised P/E (x)	7.5	10.4	13.6	11.6	11.2
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	9.5	–	5.1	8.8	4.4
Price/book (x)	0.8	0.7	0.6	0.6	0.6
EV/EBITDA (x)	4.4	7.2	8.1	8.5	7.9
EV/EBIT (x)	7.5	17.3	24.0	24.1	21.6
Gross margin (%)	50.3	43.9	37.0	36.5	36.4
EBITDA margin (%)	27.0	19.3	17.0	17.1	17.3
EBIT margin (%)	16.0	8.0	5.8	6.0	6.3
Net margin (%)	17.8	4.3	8.5	10.1	9.9
Effective tax rate (%)	15.5	5.5	18.0	18.0	18.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	9.4	2.1	4.0	4.7	4.7
ROA (pretax %)	5.6	2.5	1.7	1.8	1.9
Growth (%)					
Revenue	-1.1	-3.0	-1.5	5.7	8.3
EBITDA	-2.4	-30.5	-13.6	6.8	9.4
Normalised EPS	-4.5	-28.5	-28.4	17.7	3.7
Normalised FDEPS	-4.5	-28.5	-28.4	17.7	3.7

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	35,898	24,966	21,572	23,045	25,218
Change in working capital	-2,768	-10,696	7,632	-10,369	8,487
Other operating cashflow	-11,896	-17,283	6,774	8,362	7,896
CF from operations	21,234	-3,013	35,977	21,038	41,601
Capital expenditure	-8,259	-13,417	-33,664	-35,800	-39,255
Free cashflow	12,975	-16,430	2,314	-14,762	2,346
Reduction in investments	-16,577	0	0	0	
Net acquisitions					
Dec in other LT assets	2,676	0	0	0	
Inc in other LT liabilities	729	0	0	0	
Adjustments	-296	1,453	0	0	0
CF after investing acts	12,679	-28,149	2,314	-14,762	2,346
Cash dividends	0	0	0	0	0
Equity issue	41	0	0	0	0
Debt issue	16,296	32,202	0	0	0
Convertible debt issue	0	2,490	0	0	0
Others	-29,221	-18,241	121	157	204
CF from financial acts	-12,884	16,451	121	157	204
Net cashflow	-205	-11,698	2,435	-14,605	2,550
Beginning cash	36,734	36,529	24,831	27,266	12,661
Ending cash	36,529	24,831	27,266	12,661	15,211
Ending net debt	34,109	64,681	62,246	76,851	74,301

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	36,529	24,831	27,266	12,661	15,211
Marketable securities	102,608	90,661	90,661	90,661	90,661
Accounts receivable	10,104	12,972	11,151	15,824	14,995
Inventories	0	0	0	0	0
Other current assets	19,608	23,506	23,506	23,506	23,506
Total current assets	168,849	151,970	152,583	142,651	144,373
LT investments	140,256	168,780	168,780	168,780	168,780
Fixed assets	30,102	26,281	50,960	77,396	106,652
Goodwill	22,586	36,783	36,783	36,783	36,783
Other intangible assets	22,397	24,429	19,161	13,593	7,560
Other LT assets	43,590	40,914	40,914	40,914	40,914
Total assets	427,780	449,157	469,181	480,117	505,062
Short-term debt	19,105	28,410	28,410	28,410	28,410
Accounts payable	41,443	38,891	44,241	38,224	44,721
Other current liabilities	20,405	19,027	19,487	19,809	20,969
Total current liabilities	80,953	86,328	92,138	86,442	94,100
Long-term debt	51,943	61,102	61,102	61,102	61,102
Convertible debt					
Other LT liabilities	11,272	12,001	12,001	12,001	12,001
Total liabilities	144,168	159,431	165,241	159,545	167,203
Minority interest	19,992	23,396	23,496	23,596	23,696
Preferred stock					
Common stock	91,586	94,979	95,100	95,257	95,461
Retained earnings	180,073	177,694	191,687	208,061	225,044
Proposed dividends					
Other equity and reserves	-8,039	-6,343	-6,343	-6,343	-6,343
Total shareholders' equity	263,620	266,330	280,444	296,975	314,162
Total equity & liabilities	427,780	449,157	469,181	480,117	505,062

Liquidity (x)					
Current ratio	2.09	1.76	1.66	1.65	1.53
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	0.95	2.59	2.89	3.33	2.95
Net debt/equity (%)	12.94	24.29	22.20	25.88	23.65

Per share					
Reported EPS (CNY)	67.93	16.29	31.55	39.42	41.99
Norm EPS (CNY)	77.20	55.22	39.53	46.55	48.29
FD norm EPS (CNY)	77.20	55.22	39.53	46.55	48.29
BVPS (CNY)	755.90	781.60	831.33	880.34	931.29
DPS (CNY)	0.00	0.00	0.00	0.00	0.00
Activity (days)					
Days receivable	28.7	32.6	34.6	36.6	38.7
Days inventory	0.0	0.0	0.0	0.0	
Days payable	218.6	202.4	189.4	176.4	163.8
Cash cycle	-189.8	-169.8	-154.8	-139.8	-125.1

Source: Company data, Nomura estimates

Company profile

Baidu operates China's largest internet search engine. It offers online marketing service and cloud service, among others. Its subsidiary iQIYI offers long-form video entertainment service.

Valuation Methodology

Our SOTP-based TP is USD110. We value Baidu Core’s ads business at USD0.7bn, based on a FY27F P/E of 1x. We value Baidu’s new businesses including cloud, chips, SaaS and Robotaxi, etc. at USD20bn. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price

Downside risks include: 1)faster-than-expected deterioration in its traditional search ads; 2) slower-than-expected cloud and chip revenue; and 3) new regulations on other ad verticals.

ESG

Baidu's business is environmental friendly as it does not cause pollution or generate greenhouse gas. The company has also been investing in electric vehicle business.

Fig. 1: Baidu General Business – 3Q26F results preview

Baidu General Business (BGB, Baidu ex-iQIYI)							
CNYmn	3Q26F	2Q26	3Q25	YoY	QoQ	Cons.	vs Cons.
Revenue	24,853	25,183	24,659	0.8%	-1.3%	24,515	1%
incl. Online marketing	*11,868*	*13,100*	*15,325*	-22.6%	-9.4%	12,632	-6%
AI Cloud	*10,686*	*9,800*	*6,800*	57.1%	9.0%	8,956	19%
- AI Cloud Infra	*8,086*	*7,300*	*4,200*	92.5%	10.8%	na	na
- AI Applications	*2,600*	*2,500*	*2,600*	0.0%	4.0%	na	na
Others	*2,300*	*2,283*	*2,534*	-9.2%	0.7%	*2,926*	-21%
Non-GAAP OP	1,535	3,818	2,225	-31.0%	-59.8%	2,135	-28%
Non-GAAP OP margin	6.2%	15.2%	9.0%	-2.8ppt	-9.0ppt	8.7%	-2.5ppt
Non-GAAP NP	2,010	2,672	3,836	-48%	-25%	2,793	-28%
Non-GAAP NP margin	8.1%	10.6%	15.6%	-7.5ppt	-2.5ppt	11.4%	-3.3ppt

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Baidu General Business – earnings estimate revisions

Nomura's Baidu General Business new estimates vs old						
	FY26F			FY27F		
(CNYmn)	New	Old	Diff	New	Old	Diff
Revenue	102,807	103,931	-1%	109,391	114,530	-4%
Gross profit	42,665	43,963	-3%	43,756	45,812	-4%
Gross margin	42%	42%	-0.8ppt	40%	40%	0.0ppt
Non-GAAP operating profit	10,780	12,971	-17%	10,307	12,029	-14%
Non-GAAP op margin	10.5%	12.5%	-2.0ppt	9.4%	10.5%	-1.1ppt

Source: Nomura estimates

Fig. 3: Baidu consolidated – earnings estimate revisions

Nomura new estimates vs old						
	FY26F			FY27F		
(CNYmn except EPS)	New	Old	Diff	New	Old	Diff
Revenue	127,139	128,263	-1%	134,406	139,545	-4%
Gross profit	47,035	48,333	-3%	49,089	51,144	-4%
Gross margin	37.0%	37.7%	-0.7ppt	36.5%	36.7%	-0.1ppt
Non-GAAP operating profit	10,747	12,938	-17%	11,208	12,930	-13%
Non-GAAP op margin	8.5%	10.1%	-1.6ppt	8.3%	9.3%	-0.9ppt
Non-GAAP net profit	13,560	15,385	-12%	15,967	17,380	-8%
Non-GAAP EPS (CNY)	39.53	44.85	-12%	46.55	50.67	-8%

Source: Nomura estimates

Fig. 4: Baidu – SOTP valuation

USDbn	Valuation (USDbn)	Stake	Attributable valuation to Baidu	Valuation methodology	Note
Baidu General Business: ads business	**0.7**	**100%**	**0.7**	**1x FY27F P/E (vs 2x FY27F P/E previously)**	(1)
Baidu General Business: New businesses					
Baidu Cloud, excl. Kunlunxin	18.3	100%	18.3	3x FY27F P/S (unchanged)	
Kunlunxin chips (KLX)	34.4	58%	20.0	40% of Cambricon's latest market cap (unchanged)	Implying 12x FY27F KLX's sales, ~30% discount to Cambricon's
Robotaxi	2.0	100%	2.0	Average of the latest market cap of Weride and Pony AI	
EV of new businesses			40.3		
Execution risks discount			50%		
Net EV of new businesses			**20.1**		(2)
Non-core and holding assets					
iQiYi (IQ US, Neutral)	1.3	45%	0.6		Nomura's target valuation for iQIYI
Holding discount			60%		
Net EV of non-core assets			**0.2**		(3)
Total EV: (1)+(2)+(3)			**21.1**		(1)+(2)+(3)
Net cash (ex-iQIYI)			27.8		
Discount to net cash			40%		
Net cash for SOTP			16.7		
Market cap			**37.8**		
TP (USD)			**110**		

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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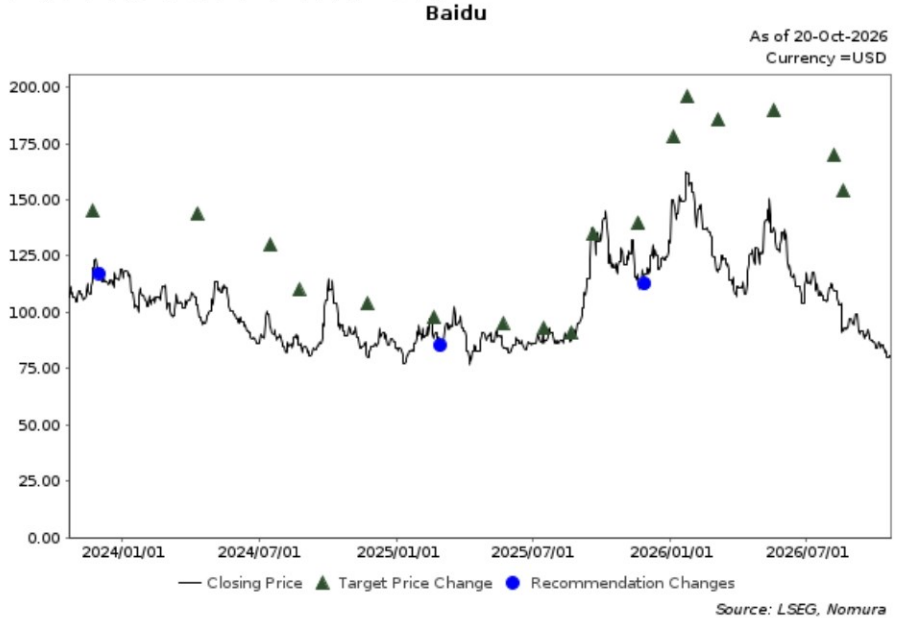
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Baidu	BIDU US	USD 80.50	20-Oct-2026	Buy	N/A	A10,A35
iQIYI Inc	IQ US	USD 0.92	20-Oct-2026	Neutral	N/A	

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.
A35 The Nomura Group beneficially owns 1% or more financial interest in the subject company.

Baidu (BIDU US) **USD 80.50 (20-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



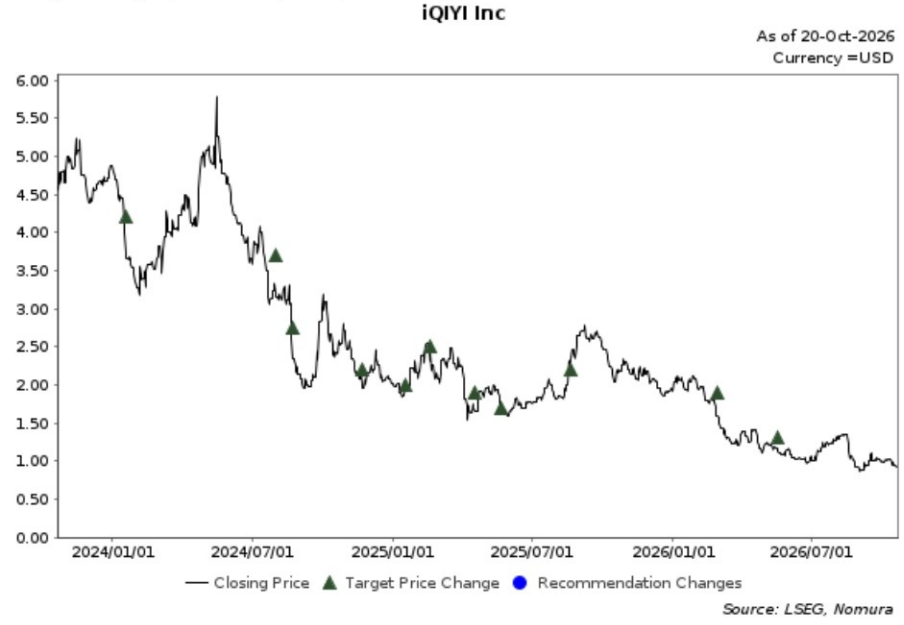
Date	Rating	Target price	Closing price
19-Aug-26		154.00	92.87
07-Aug-26		170.00	109.71
19-May-26		190.00	137.68
05-Mar-26		186.00	117.93
23-Jan-26		196.00	161.44
05-Jan-26		178.00	149.68
19-Nov-25	Buy		115.49
19-Nov-25		140.00	115.49
20-Sep-25		135.00	135.35
21-Aug-25		91.00	87.61
16-Jul-25		93.00	86.32
22-May-25		95.00	84.07
19-Feb-25	Neutral		88.03
19-Feb-25		98.00	88.03
22-Nov-24		104.00	80.33
23-Aug-24		110.00	85.70
16-Jul-24		130.00	93.73
09-Apr-24		144.00	103.50
22-Nov-23	Buy		120.12
22-Nov-23		145.00	120.12

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our SOTP-based TP is USD110. We value Baidu Core's ads business at USD0.7bn, based on a FY27F P/E of 1x. We value Baidu's new businesses including cloud, chips, SaaS and Robotaxi, etc. at USD20bn. The benchmark index for the stock is Nasdaq Composite.
Risks that may impede the achievement of the target price Downside risks include: 1)faster-than-expected deterioration in its traditional search ads; 2) slower-than-expected cloud and chip revenue; and 3) new regulations on other ad verticals.

iQIYI Inc (IQ US) **USD 0.92 (20-Oct-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
18-May-26		1.30	1.13
28-Feb-26		1.90	1.60
21-Aug-25		2.20	2.35
22-May-25		1.70	1.69
17-Apr-25		1.90	1.65
19-Feb-25		2.50	2.42
17-Jan-25		2.00	1.94
22-Nov-24		2.20	1.95
23-Aug-24		2.75	2.34
01-Aug-24		3.70	3.21
19-Jan-24		4.20	3.66

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We set our TP at USD1.3, based on DCF valuation methodology, assuming a WACC of 9.7% and a terminal growth rate of 1%, with cash flows discounted back to FY26F. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Upside risks include: better-than-expected MAUs and subscriber growth; better-than-expected financial contribution from overseas and experience businesses; operating efficiency improvement from the execution of favourable regulatory policies and the application of AI technology Downside risks include: 1) further deterioration in user growth and time spent by other entertainment contents, 2) intensified competition among long-form video platforms for users and content, and 3) further regulatory risks related to online video platforms or video content.

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As at 30 September 2026.
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STOCKS

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